Corporate Finance

Lecture (1)
Ch. 1: The Role of Finance

Instructor

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Course Description

This course focuses on understanding the tools of corporate finance and its applications. Students will be introduced to the finance world and learn how to **analyze financial statements.** Moreover, by the end of the course students should have mastered the important concepts of finance such as, **time value of money**, **risk and return, valuation**, **capital budgeting techniques**, **making investment decisions**, and **capital structure.** Most of the concepts will be practically applied to real-life companies through student assignments.

Agenda and textbook

1. The Role of Finance (Chapter 1)
2. Financial Statements and Ratio Analysis (Chapter 3)
3. Time Value of Money (Chapter 4)
4. Risk and Return (Chapter 8)
5. Bond Valuation (Chapter 6)
6. Cost of Capital (Chapter 9)
7. Capital Budgeting Techniques (Chapter 12)

The chapters in parentheses refer to the textbook: **Principles of Managerial Finance, Gitman and Zutter, 13th or 14th edition, Pearson.**

Course Assessment:

Assessment	Grade
Final Exam	40%
Mid-term Exam	30%
Course Work	30%
• Quizzes (15%) (Best 2 Quizzes out of 3 Quizzes)	
• Assignments (15%) • **Group Assignments 4-5 Students** (Best 2 assignments out of 3 assignments)	

Ch. 1: The Role of Finance Learning Goals

- Define finance, its major areas and opportunities available in this field, and the legal forms of business organization.
- Describe the managerial finance function and its relationship to economics and accounting.
- Identify the primary activities of the financial manager.
- Explain the goal of the firm, corporate governance, the role of ethics, and the agency issue.

What is Finance?

- **Finance can be defined as the science and art of managing money.**

- At **Personal Level** (Finance is concerned with how much individuals spend, save and invest)

- In a **Business Context** (How firms raise money, spend, invest, reinvest/distribute profits)

Corporate/ Managerial Finance

- **Corporate finance (Financial management or Managerial finance)** is concerned with the duties of the financial manager in the business firm (e.g. **investment** or **financing decisions** and **corporate planning**,…).

- **Finance** is closely related to Economics and Accounting.

Finance & Accounting

1) Decision Making: If Accounting is concerned with recording numbers, Finance uses and analyses this accounting information together with other information to make decisions.

- **Accounting** is dealing with historical costs, recording of transactions and bookkeeping, compiling and checking costs and revenues. **Accountants devote most of their attention to the collection and presentation of financial data.**

- **Finance** is dealing with time value of money, estimating costs and revenues, analyzing, forecasting and planning and evaluating alternative investment opportunities. **Financial managers evaluate the accounting statements, develop additional data, and make decisions on the basis of their assessment of the associated returns and risks.**
  - **Finance looks forward and deals with future events that are still to happen but Accounting looks back and records events that had already happened.**

2) Cash Flows: the **accountant** prepares financial statements that **recognize revenue at the time of sale** (whether payment has been received or not) and **recognize expenses when they are incurred.** This approach is referred to as **the accrual basis.**

- On the other hand, The **financial manager (FM)** put emphasis on actual cash flows **(the cash basis).** E.g. they maintain the firm's solvency by planning the cash flows necessary to satisfy its obligations.

Relationship to Economics

- The field of finance is closely related to economics.
- Financial managers must understand the economic framework and be alert to the consequences of varying levels of economic activity and changes in economic policy.
- They must also be able to use economic theories as guidelines for efficient business operation.
- Examples include supply-and-demand analysis and price theory.
- The primary economic principle used in managerial finance is:
- **marginal cost–benefit analysis**: is the economic principle that states that **financial decisions should be made and actions taken only when the added benefits exceed the added costs.**
- Other considerations: Effect of changes in interest rates in the economy, exchange rates , crises, pandemics….

Primary Activities of the Financial Manager

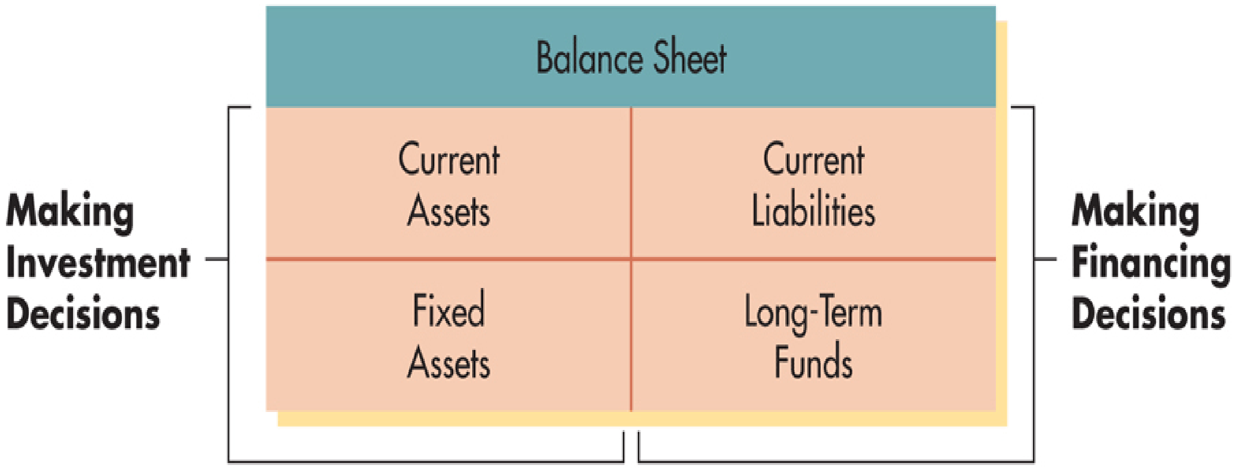
In addition to ongoing involvement in financial analysis and planning, **The two key activities of the financial manager as related to the firm's balance sheet are:**

1) Making Investment decisions: Determining **both the most efficient level and the best mix of assets**

2) Making Financing decisions: determine **how the firm raises money** to pay for the assets in which it invests. Establishing and maintaining **the proper mix of short- and long-term financing** and raising needed financing in the most economical fashion.

FIGURE 1.3

Financial Activities
Primary activities of the financial manager



Legal Forms of Business Organization

The three most common legal forms of business organization are:

1. Sole proprietorship

2. Partnership

3. Corporation

Sole Proprietorship

Business owned by one person and operated for his/her own Profit.

Sole Proprietorship

Advantages/Strengths (+)	**Disadvantages/Weaknesses (-)**
• Easy and inexpensive to set up and low organization costs • Owner receives all profits • Minimal regulation and reporting requirements (secrecy) • Avoids corporation tax (only pays personal income tax)	• **Unlimited liability** → Claiming against owner's personal assets to repay debts • **Lack of continuity** (when the owner dies) → Life of business is constrained by life of individual • **Limited fund-raising power** that inhibits growth

Partnership

Business owned by Two or more people and operated for profit.

Partnership

Advantages/Strengths (+)	Disadvantages/Weaknesses (-)
• Can raise more funds than sole proprietorship • Enhanced borrowing power because of more owners • More available brain power and managerial skills • Avoids corporation tax (only pays personal income tax)	• Owners have **unlimited liability** and may have to cover debts for other partners • **Lack of continuity** → Partnership is dissolved when a partner dies (life of business is constrained by life of partners) • Difficult to liquidate or transfer partnership

Corporation

- **Separate Legal Entity, An entity created by law,** which is separate from its owners (stockholders) and managers. This entity has the legal powers of an individual in the way that it **can sue and be sued**, make and be party to contracts, and acquire or sell property in its own name.

- The owners of Corporation are **Stockholders (Shareholders)** whose ownership, or equity, takes the form of either common stock or preferred stock.

Corporation

Advantages/Strengths (+)	**Disadvantages/Weaknesses (-)**
• Limited liability (owner cannot lose more than they invested) • Easily transferred ownership via stocks • Better access to financing • Long life	• Subject to more regulation and reporting requirements • More expensive to organize • High taxes: double taxation (corporate income tax & personal income tax) • Lack of secrecy (must disclose financial results)

Strengths and Weaknesses of the Common Legal Forms of Business Organization

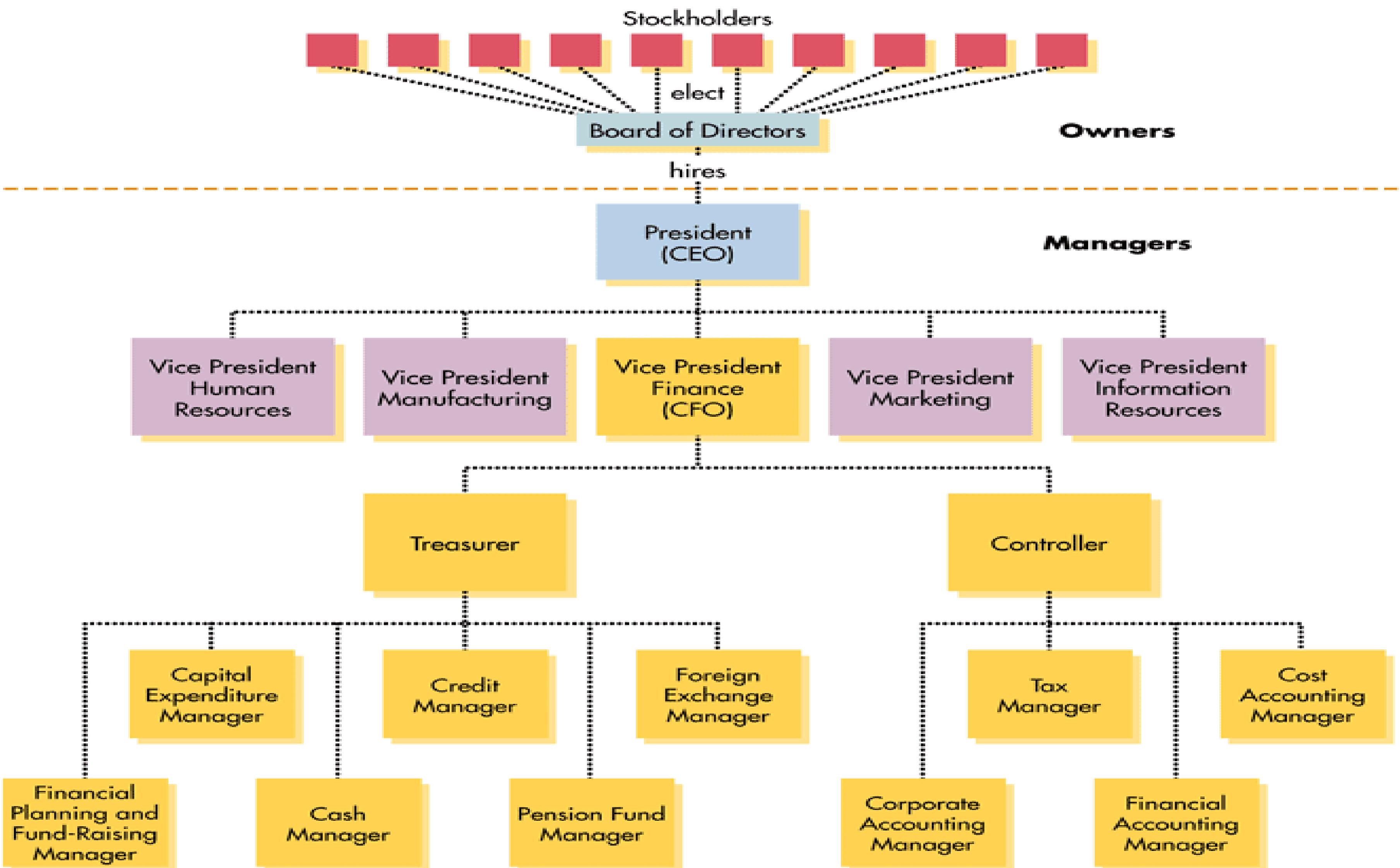
TABLE 1.1 Strengths and Weaknesses of the Common Legal Forms of Business Organization

	Sole proprietorship	Partnership	Corporation
Strengths	• Owner receives all profits (and sustains all losses) • Low organizational costs • Income included and taxed on proprietor's personal tax return • Independence • Secrecy • Ease of dissolution	• Can raise more funds than sole proprietorships • Borrowing power enhanced by more owners • More available brain power and managerial skill • Income included and taxed on partner's personal tax return	• Owners have *limited liability*, which guarantees that they cannot lose more than they invested • Can achieve large size via sale of ownership (stock) • Ownership (stock) is readily transferable • Long life of firm • Can hire professional managers • Has better access to financing
Weaknesses	• Owner has *unlimited liability*—total wealth can be taken to satisfy debts • Limited fund-raising power tends to inhibit growth • Proprietor must be jack-of-all-trades • Difficult to give employees long-run career opportunities • Lacks continuity when proprietor dies	• Owners have *unlimited liability* and may have to cover debts of other partners • Partnership is dissolved when a partner dies • Difficult to liquidate or transfer partnership	• Taxes generally higher because corporate income is taxed, and dividends paid to owners are also taxed at a maximum 15% rate • More expensive to organize than other business forms • Subject to greater government regulation • Lacks secrecy because regulations require firms to disclose financial results

Owners of corporations (stockholders) have to delegate day-to-day decisions to managers that report to the board of directors.

- **Stockholders (Shareholders) (owners)** expect to earn a return in two ways: 1) by receiving **dividends—periodic distributions of cash from profits** — 2) or by realizing gains through increases in share price.
- **The owners (the stockholders)** are usually not directly involved in making business decisions, particularly on a day-to-day basis. Instead, the corporation employs **managers** to represent the owners' interests and make decisions on their behalf.
- The stockholders vote periodically to elect members of the **board of directors** and to decide other issues such as amending the corporate charter.
- **The board of directors** is typically responsible for approving strategic goals and plans, setting general policy, guiding corporate affairs, and approving major expenditures.
- Most importantly, the board decides when to hire or fire top **managers** and establishes compensation packages for the most senior executives.
- **The president or chief executive officer (CEO)** is responsible for managing day-to-day operations and carrying out the policies established by the board of directors. The CEO reports periodically to the firm's directors.

Corporate Organization



Corporations/ Public Firm

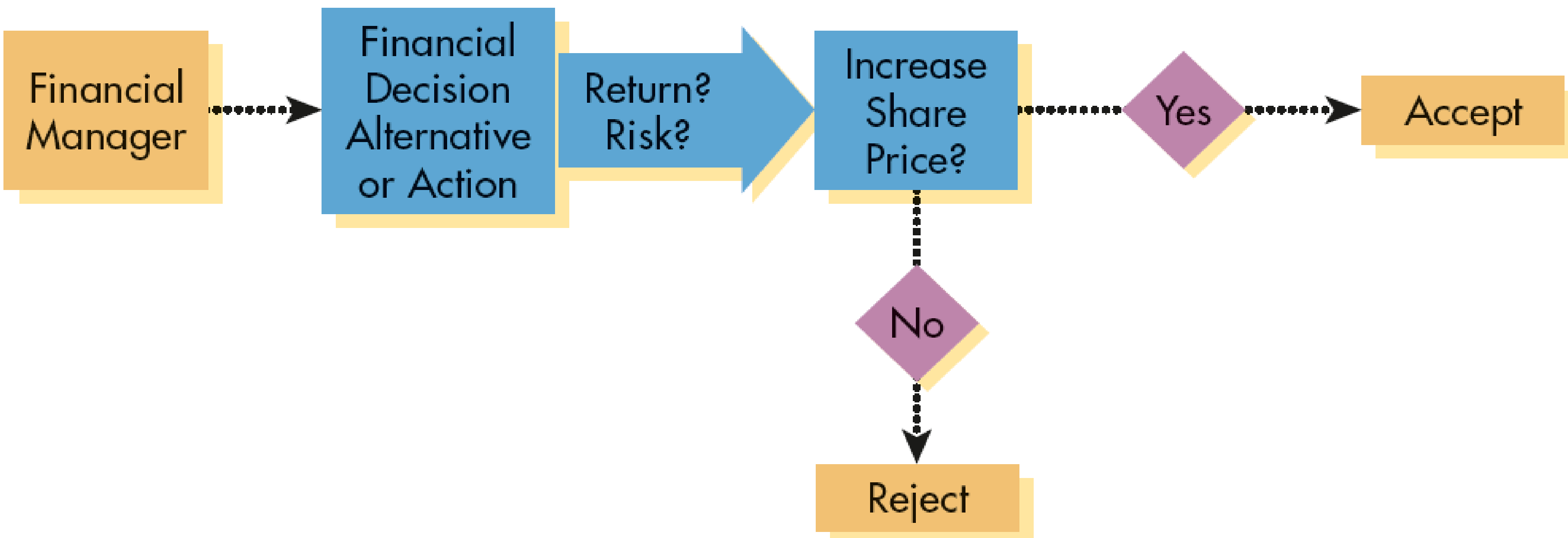
- A public firm is:
- also called a publicly traded company
- It is listed on the stock market.
- Their stocks are tradable.
- Ownership of a public company is distributed among general public shareholders through the free trade of shares of stock on stock exchanges
- Examples: Apple, Meta, Tesla….

Goal of the firm?

- Shareholders are the owners of the company and they will only invest if they get something back.
- Managers should act in the best interests of the firm's owners.
- **What goal should the managers purse?**

Goal of the Firm:
Maximize Shareholder Wealth

Decision rule for managers: only take actions that are expected to increase the share price.



Goal of the firm?
Shareholder wealth vs. profit

- **Goal of the firm:** maximize the shareholder wealth (i.e. maximize the share price) and sustain this increase (Long term focus).
- **But does profit maximization (Profits measured by EPS: Earnings per share) lead to the highest possible share price? *Probably NO.* Why?**
- Maximizing shareholder wealth properly considers **cash flows**, **the timing of these cash flows ,** and **the risk** of these cash flows, which profits don't necessarily consider.

Shareholder wealth vs. Profit

1. **Timing :** ***The receipt of funds sooner rather than later is preferred.*** An investment that provides a lower profit in the short run may be preferable to one that earns a higher profit in the long run. The returns in year 1 could be reinvested to provide greater future earnings. **Profit maximization is typically focused on the short-term, while wealth maximization takes a long-term perspective.**

2. Cash flow: profits and cash flows are not identical. **Profits do not necessarily result in cash flows available to the stockholders.** The profit is an estimate of how it is doing, and influenced by many different accounting choices that firms make when preparing their financial reports.

- **Cash flow** is a more straightforward measure of the money flowing into and out of the company. **Companies have to pay their bills with cash, not earnings, so cash flow is what matters most to financial managers.** Also, **higher profits do not necessarily translate into a higher stock price.** Only when **earnings increases are accompanied by increased future cash flows is a higher stock price expected.**

3. Risk : Profit maximization also fails to account for risk. A firm that earns a low but reliable profit might be more valuable than another firm with profits that fluctuate a great deal (and therefore can be very high or very low at different times). Put is simply**, firms with low profits but less risky and fluctuating profits may have higher stock prices than those that earn higher profits but more risky.**

Shareholder wealth vs. Profit Maximization

Profit Maximization

- Its main objective to earn large amount of profits.
- It emphasizes short term
- It ignores Timing (Time value of Money)
- It ignores Cash Flows
- It ignores Risk and Uncertainty

Shareholder Wealth Maximization

- Its main objective to achieve highest market value of stock (share price).
- It emphasizes the long term
- It considers Timing (Time Value of Money)
- It considers Cash Flows
- It recognizes Risk and Uncertainty

Corporate Governance and Agency Problem

- **Corporate governance** refers to **the rules, processes, and laws** by which companies are operated, controlled, and regulated.

- It defines **the rights and responsibilities of the corporate participants** such as the shareholders, board of directors, officers and managers, and other stakeholders, as well as the **rules and procedures** for making corporate decisions.

- A well-defined corporate governance structure is intended to benefit all corporate stakeholders by ensuring that **the firm is run in a lawful and ethical** fashion, in accordance with best practices, and subject to all corporate regulations.

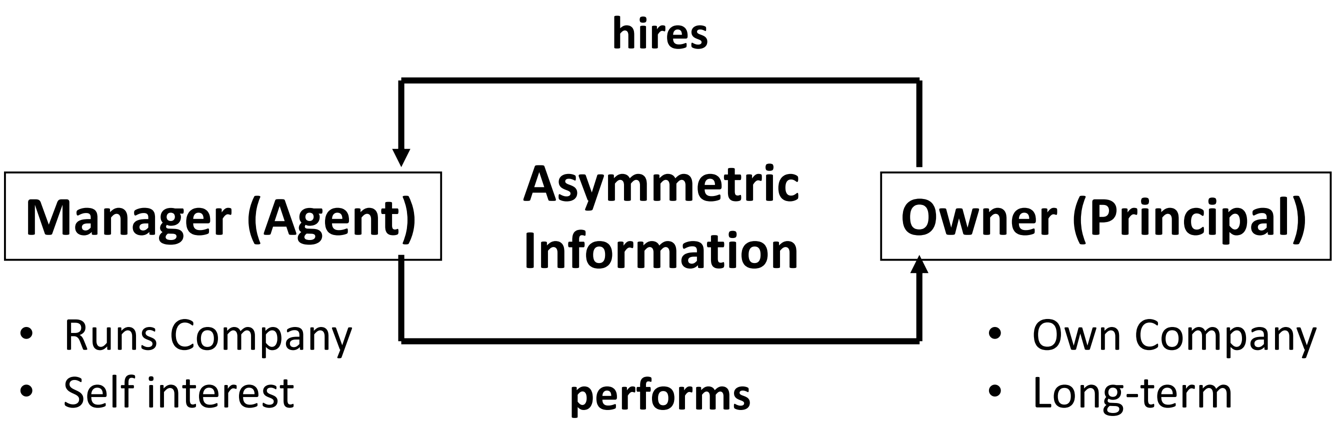
The Agency Problem

- The relationship between stockholders and management is called an **principal-agent relationship .**
- **Managers** can be viewed as **agents** of the owners **(shareholders)** (act as the **principals)** who have hired them. A firm's managers are in a **"principal–agent"** relationship with the shareholders.
- A **principal-agent relationship** is an arrangement in which an agent (managers) acts on the behalf of a principal (shareholders). For example, shareholders of a company (principals) elect management (agents) to act on their behalf.
- Shareholders want managers to take decisions to maximize the market value of the firm, **but…Managers are also concerned with their personal interests (e.g. salary and job security)and might not always act in the best interest of the shareholders.**
- This potential **conflict** between owners' goals and managers' personal goals is called the **agency problem. Agency problems** arise when managers place personal goals ahead of the goals of shareholders.
- **Agency costs** arise from agency problems that are borne by shareholders and represent a loss of shareholder wealth.

Corporations face agency problems that need to be addressed through (financial) incentives.

- Managers are **agents** of the stockholders (**principals**) who have hired them

Principal-Agent relationship



Manager (Agent):

- Runs Company
- Self interest
- Personal or short-term objectives

Owner (Principal):

- Own Company
- Long-term objectives
- Maximize stock price

Asymmetric Information: When one party has more information than the other

Resolving the Agency Problem

- **Corporate Governance Rules**

- **Market Forces → the threat of firing:** major shareholders with significant voting power can use their voting power to elect new directors who support their objectives and will act to replace poorly performing managers.

- **Management Compensation Plans:**

Incentive plans → are management compensation plans that tie management compensation to share price. E.g. **granting stock options. A stock option is an incentive allowing managers to purchase stock at the market price set at the time of the grant.** (managers benefit from increase in stock price over time.)

Performance plans → tie management compensation to measures such as earnings growth; performance shares and/or cash **bonuses**

End of Chapter (1)